

States **BIHAR**

| By Amitabh Srivastava |

Chief Minister Nitish Kumar doesn't have a sales degree, but he has been an extraordinary salesman nonetheless, hard-selling Bihar as a dream business destination with a confidence that may even put a certain Rocket Singh to shame. Somewhat incongruently, Bihar's army of make-believe managers seems reluctant to highlight all success stories that Sushasan Babu, as Nitish is known, has delivered during his reign. For instance, the state's spirited success story, which shows stupendous revenue earnings from liquor sales, registering a staggering 350 per cent growth in the last four years. The revenue generated from the new liquor policy, however, found only a brief mention and that too on the last page of the state Government's report card titled Development with Justice that was released last year. Perhaps because it does not fit under either of the two banners Nitish claims he was game for, development or justice.

While the NDA Government may be shying away from claiming credit for the astounding revenue generation, the figures explain it all. In 2008-09, the amount generated as excise revenue was Rs 749.15 crore, which marked almost 40 per cent increase in realisation over 2007-08 and for the current financial year, the target is Rs 950 crore. In 2004-05 when Rabri Devi-led government was in power, the state earned a mere Rs 272.47 crore as revenue from excise duty.

The turnaround in revenue happened under the Nitish regime which introduced the new excise policy in July 2007. For the first time, the settlement (legal permission to run a liquor shop at a particular location) of all types of retail excise shops was allowed through lottery in the state. The policy, which was purportedly introduced to eliminate the state's liquor mafia, and double revenue collection from sales, has ultimately ended up in providing more

opportunities for consuming liquor. The new policy has so far not only almost doubled the number of liquor shops in the state, but it has also allowed opening of composite shops selling foreign and country liquor (even in village panchayats), besides legalising serving of liquor on their

premises, if the vend owners pay an extra 10 per cent on the licence fee. The state today has close to 5,000 liquor junctions, meaning that each district has over 100 liquor shops, all of which are doing roaring business.

Bihar today has gradually started resembling a bar with liquor vends



Uncorking the BOTTLE

The liquor policy was meant to eliminate the mafia and maximise revenue but it has instead increased alcohol consumption and strained the social fabric